



Improving GenAI Outcomes on AWS: Why Graph Matters

In the last two years, the adoption of generative AI (GenAI) has exploded across industries, revolutionizing how businesses operate and interact with customers. Leveraging the vast capabilities of Large Language Models (LLMs) and other Foundational Models (FMs), organizations have deployed a wide range of generative AI applications on platforms like Amazon Web Services (AWS). These applications span from chatbots and virtual assistants to AI-driven code generation and beyond, all aimed at solving complex business challenges. However, despite the promise of GenAI, many enterprises encounter significant challenges, such as data insufficiency, inaccurate outputs (hallucinations), lack of explainability, and organizational and technical challenges converting GenAI concepts to revenue-generating solutions.

This paper explores the rapid adoption of GenAI on AWS. It also highlights how the integration of Graph Retrieval Augmented Generation (GraphRAG)—which augments generative AI results by combining real-time information from sources such as internal databases and the internet with existing data, retrieving fresh, relevant information and generating insightful, accurate answers—and Graph databases such as Neo4j, can address these challenges. By incorporating these technologies, organizations can overcome generative AI's most pressing issues and enhance outcomes across the enterprise, leading to better business results and an improved return on investment (ROI) for generative AI projects.

The Generative AI Explosion

Generative AI has quickly become a driving force behind innovation and economic growth. According to Goldman Sachs, GenAI could increase global GDP by 7%, translating to

\$7 trillion in economic growth. The impact of GenAI is vast, accelerating research, enhancing customer experiences (CX), optimizing business processes, and boosting productivity across sectors. This trend is reflected in IDC's projections, which estimate that global spending on GenAI will skyrocket from \$40 billion in 2024 to over \$150 billion by 2027, representing a near 100% compound annual growth rate (CAGR).

As GenAI continues to permeate industries, its applications have become increasingly diverse and sophisticated. Enterprises use GenAI to power chatbots and virtual assistants, create media and other content, automate business processes, enable conversational analytics, personalize customer interactions, generate code, and provide productivity and creativity tools. As one of the most popular cloud platforms, AWS offers highly scalable, secure, and cost-effective solutions supporting these GenAI initiatives.

GenAI on AWS

AWS is at the forefront of the GenAI revolution, offering a comprehensive suite of tools and services designed to help organizations build, deploy, and scale GenAI applications. AWS has a vast array of services, including Amazon SageMaker, Amazon Bedrock, Amazon EMR, Amazon Redshift, AWS Glue, and Amazon MSK, that enables enterprises to develop applications that cater to a wide range of use cases including:

- Conversational analytics
- Personalizing customer experiences
- Generating code for a variety of languages and platforms

For all these applications and more, AWS provides the infrastructure and tools necessary to bring GenAI projects to life.

GenAI Real-World Challenges

However, despite the advantages offered by GenAI on AWS, organizations still face several real-world challenges when deploying GenAI solutions, including:

- Hallucinations, where the AI model generates content that is plausible but factually incorrect or entirely fabricated. This can lead to harmful or misleading information being disseminated and undermine the system's credibility
- Lack of traceability and reproducibility in GenAI results, where models produce outcomes that cannot be easily traced back to their source data or underlying logic. This makes it difficult for organizations to justify or trust the decisions made by these systems
- Intellectual property (IP) concerns and privacy risks, especially when dealing with sensitive or proprietary data. These risks can limit the scope of AI initiatives and expose organizations to legal and regulatory challenges

To overcome these challenges, enterprises must adopt strategies that enhance the transparency, accuracy, and explainability of their GenAI systems. This is where the role of databases, particularly graph databases, becomes essential.

Why It Matters

The challenges associated with GenAI are not just technical hurdles; they have significant business



implications. Failing to address the above issues can prevent GenAI projects from achieving their full potential. In a competitive landscape, and given the massive global GenAI investment, the risk to organizations is explicit—market share competitive threats, the loss of GenAI's transformative benefits, and the development of GenAI-related intellectual property can all be market differentiators.

By leveraging advanced database technologies such as Graph and GraphRAG, enterprises can enhance the performance and reliability of their AI systems, leading to better business outcomes and a higher ROI.

Why Choice of Databases Matter

The choice of database technology can profoundly impact the effectiveness of AI solutions in GenAI. Traditional relational databases (SQL) and vector databases have been widely adopted for GenAI applications. However, these databases have limitations, particularly in accommodating rich connections between data points and making domain-specific relationships accessible to AI models.

This is where Graph databases excel. Unlike relational databases, which rely on predefined schemas, Graph databases have a more robust and flexible schema. They are designed to store and traverse multi-level hierarchies of data and offer better traversal performance when going over multiple connections in a single query, thus enabling more complex and dynamic data relationships. This flexibility makes Graph databases particularly well-suited for GenAI applications requiring high accuracy, transparency, and explainability.

Graph databases also provide the data behind the data, allowing for deeper understanding and contextual awareness that are exceptionally well suited for GenAI interpretation.

RAG is one of the most promising techniques for improving GenAI outcomes, which allows LLMs to utilize additional data sources without retraining. By integrating RAG with Graph databases, enterprises can access real-time data from internal knowledge bases, enabling more accurate and contextually relevant AI-generated content. This approach also supports enterprise search with natural language interfaces, enhancing the usability and effectiveness of AI systems. Let's look at a couple of use cases for Graph databases with GenAI:

Financial: Whether for anti-money laundering detection, fraud prevention, or customer personalization, GenAI on AWS is transforming how financial institutions combat financial crimes, delight customers, and maximize data value. Neo4j's knowledge graph capabilities are at the forefront of this transformation. By



integrating GenAI with knowledge graphs, financial institutions can identify hidden relationships within their data, enabling them to detect and prevent fraudulent activities more effectively. Additionally, this integration allows for the creation of hyper-personalized customer experiences, driving customer satisfaction and loyalty while improving overall productivity through better data access and analysis.

Automotive and Manufacturing: Across the most sophisticated automotive and manufacturing companies, GenAI on AWS is being leveraged to optimize supply chain management, predict bill of material costs, and reduce product development cycles. Neo4j's knowledge graph technology plays a critical role in these applications by enabling manufacturing firms to analyze complex data relationships at scale. This capability allows them to anticipate disruptions in the supply chain, optimize production processes, and bring products to market faster, all while reducing costs and improving efficiency.

Neo4j: Empowering GenAI on AWS with Knowledge Graphs

Neo4j is an AI enabler and leader in the Graph database space, offering powerful tools that enable organizations to build and deploy GenAI applications with greater accuracy and relevance. By integrating domain-specific context and insights, Neo4j enhances the accuracy, relevancy, and personalization of GenAI models. This results in AI-generated content that is more aligned with the organization's specific needs and goals.

Amazon Bedrock is a fully managed service that offers a choice of high-performing foundation models (FMs) from leading AI companies through a single API, along with a broad set of capabilities required to build generative AI applications with security, privacy, and responsible AI. This allows organizations to easily experiment with and evaluate top FMs for each use case, customize them with domain-specific data using RAG, and build agents that execute tasks using enterprise systems and data sources.

Neo4j's graph data model provides a view of how sources are connected to text, structured, and unstructured entities. This information is extracted during GraphRAG, making the source lineage and retrieval logic accessible for:

1. AI models
2. Developers building GenAI applications
3. End users seeking to understand how a response was developed

This provides visibility into what information was utilized and, critically, how and why it was pulled.



Both engineers and data scientists can also use Neo4j's querying, visualization, and graph data science capabilities to explore and analyze these connections, identifying patterns and checking for common issues in grounding data (such as duplicate or malformed records) so they can improve it over time.

Neo4j also provides robust data representation capabilities, supporting developing, curating, and managing high-quality data that powers GenAI at scale.

By uncovering and making available hidden relationships within data, Neo4j helps organizations achieve better GenAI outcomes, leading to more informed decision-making and enhanced business performance.

AWS GenAI integrations, including Amazon SageMaker, Amazon Bedrock, Amazon EMR, Amazon Redshift, AWS Glue, and Amazon MSK, further enhance the capabilities of Neo4j's knowledge graph technology. These integrations allow enterprises to seamlessly incorporate GenAI into their existing AWS environments, maximizing the value of their AI investments.

The rapid adoption of GenAI on AWS has unlocked new opportunities for innovation

and growth across industries. However, the challenges associated with GenAI, such as hallucinations, lack of traceability, and privacy risks, require careful consideration and the right technological solutions. By adopting GraphRAG and Graph databases like Neo4j, organizations can overcome these challenges and achieve better GenAI outcomes.

Graph databases offer unique advantages in terms of flexibility, performance, and the ability to handle complex data relationships, making them an ideal choice for enterprises seeking to enhance the accuracy, transparency,

and explainability of their GenAI systems. As GenAI continues to evolve, integrating these technologies will be essential for driving better business outcomes and maximizing the ROI of GenAI projects.

Future-Proof Your AI Projects

Leverage the power of graph technology to overcome common AI challenges like hallucinations and data traceability. [Schedule a demo](#) to see how AWS and Neo4j can elevate your GenAI outcomes.

About Neo4j

Neo4j, the Graph Database & Analytics leader, helps organizations find hidden relationships and patterns across billions of data connections deeply, easily and quickly. Customers leverage the structure of their connected data to reveal new ways of solving their most pressing business problems, with Neo4j's full graph stack and a vibrant community of developers, data scientists and architects across hundreds of Fortune 500 companies. [Visit neo4j.com](#).

About Amazon Web Services

Since 2006, Amazon Web Services has been the world's most comprehensive and broadly adopted cloud. AWS has been continually expanding its services to support virtually any workload, and it now has more than 240 fully featured services for compute, storage, databases, networking, analytics, machine learning and artificial intelligence (AI), Internet of Things (IoT), mobile, security, hybrid, media, and application development, deployment, and management from 108 Availability Zones within 34 geographic regions, with announced plans for 18 more Availability Zones and six more AWS Regions in Mexico, New Zealand, the Kingdom of Saudi Arabia, Taiwan, Thailand, and the AWS European Sovereign Cloud. Millions of customers—including the fastest-growing startups, largest enterprises, and leading government agencies—trust AWS to power their infrastructure, become more agile, and lower costs. To learn more about AWS, [visit aws.amazon.com](#).